



Summary of RBI Annual Report

2024-25

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Note- This document is prepared with the objective of helping students for the RBI Grade B exam, especially Phase 2 descriptive. Therefore, some of the graphs, tables, charts, and paragraphs have been taken as such from the RBI Annual Report. Objective questions based on the RBI Annual Report have been shared separately.

1 - What is RBI's Annual Report?

The RBI's Annual Report is a comprehensive document that provides a detailed account of the central bank's activities, policies, and performance over the course of a financial year. The Annual Report serves as a key source of information for policymakers, economists, researchers, and the general public, offering insights into the RBI's policies, operations, and overall assessment of the economic and financial landscape of the country.

2 – Content of the Annual Report

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1. Assessment and Prospects

- **Global Economic Context (2024-25):** Global growth in 2024 was 3.3%, below the historical average of 3.7%, due to geopolitical tensions, trade protectionism, and high debt levels. Inflation eased to 5.7% from 6.6%, but services inflation remained sticky in advanced economies. Financial conditions eased as central banks adopted accommodative policies, though markets faced volatility from policy shifts and geopolitical risks.
- **Indian Economy Resilience (2024-25):** India remained the fastest-growing major economy with a GDP growth of 6.5%, supported by robust macroeconomic fundamentals, proactive policies, and sustained government capital expenditure. Inflation moderated to 4.6%, driven by lower core inflation (3.5%) and fuel deflation, despite elevated food inflation at 6.7%.
- **Financial Sector Strength:** The Indian financial sector showed resilience with healthier bank and non-bank balance sheets, improved asset quality, and double-digit credit growth. The banking sector maintained strong capital and liquidity buffers, while non-banking financial companies (NBFCs) and urban cooperative banks (UCBs) also improved profitability and asset quality.
- **Fiscal and External Sector Stability:** The central government reduced the fiscal deficit to 4.7% of GDP, supported by strong tax revenues and prudent expenditure. The current account deficit (CAD) remained sustainable at 1.3% of GDP, cushioned by robust services exports and remittances, despite a widened merchandise trade deficit of \$282.8 billion.
- **Monetary Policy and Liquidity Management:** The Monetary Policy Committee shifted to a neutral stance in October 2024 and cut the repo rate to

6.25% in February 2025 to support growth. Liquidity remained in surplus, with the Reserve Bank conducting operations like open market purchases and reducing the cash reserve ratio to ensure adequate system liquidity.

- **Outlook for 2025-26:** India is projected to maintain its position as the fastest-growing major economy with a GDP growth of 6.5% and inflation at 4.0%, supported by private consumption, government capex, and a favorable monsoon. However, global trade uncertainties, geopolitical tensions, and financial market volatility pose risks to growth and inflation.
- **Policy Initiatives and Financial Inclusion:** The Reserve Bank advanced digital initiatives like the central bank digital currency (CBDC) pilot, FinTech and EmTech repositories, and the Unified Lending Interface to enhance financial inclusion and efficiency. Regulatory efforts focused on strengthening governance, cyber resilience, and fraud prevention, with initiatives like the 'bank.in' domain to combat digital fraud.

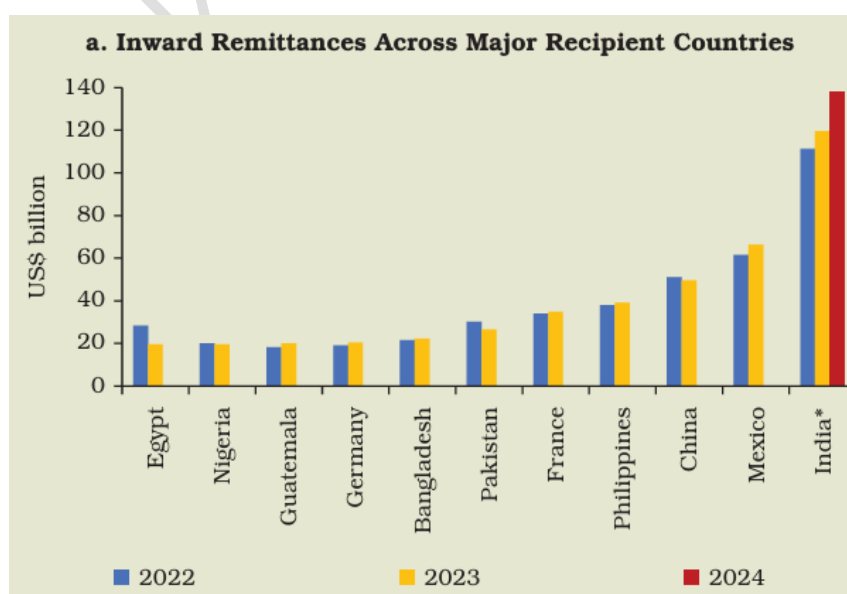
2. Economic Review

- **Subdued Global Growth (2024):** Global economic growth in 2024 was 3.3%, below the historical average (2000-19) of 3.7%, driven by geopolitical tensions, geoeconomic fragmentation, weak investment, slow productivity growth, and high public debt levels, with sluggish recovery in China's consumption and property markets adding to challenges.
- **Moderating Inflation with Challenges:** Global inflation eased to 5.7% in 2024 from 6.6% in 2023, aided by softening commodity prices and monetary tightening, but remained above pre-pandemic levels due to persistent services inflation in advanced economies (AEs), with disinflation varying across countries.
- **Trade and Financial Market Dynamics:** Global merchandise trade grew by 2.9% in 2024 after a 1.0% contraction in 2023, supported by easing supply chains, though geoeconomic fragmentation persisted. Financial conditions eased as central banks shifted to accommodative policies, but markets faced volatility from policy shifts, geopolitical risks, and stretched tech stock valuations.
- **Outlook for 2025-26:** Global growth is projected to slow to 2.8% in 2025 and 3.0% in 2026, with emerging market and developing economies (EMDEs) at 3.7%-3.9% and AEs at 1.4%-1.5%. Inflation is expected to decline to 4.3% in 2025 and 3.6% in 2026, but trade protectionism, geopolitical tensions, and climate risks pose challenges.
- **Trade Contraction Risks:** Global merchandise trade volume is projected to contract by 0.2% in 2025 due to tariff uncertainties, though recent US-UK and US-China trade agreements (May 2025) offer some optimism for future trade stability.
- **Financial Stability Concerns:** High public debt in AEs and EMDEs raises sustainability concerns, with elevated sovereign debt levels driving spikes in risk premia and yields. Stretched asset valuations and volatile capital flows could tighten financial conditions, risking spillovers to EMDEs.
- **Global Policy Priorities:** The G20 under Brazil's 2023-24 presidency focused on combating hunger, poverty, and inequality, advancing sustainable development, and reforming global governance. Initiatives included

strengthening financial institutions, enhancing cross-border payments, addressing climate-related financial risks, and cybersecurity.

2.1 Indian Economy

- **Resilient Growth in 2024-25:** India maintained its status as the fastest-growing major economy with a real GDP growth of 6.5% in 2024-25, supported by robust macroeconomic fundamentals, proactive policy measures, strong consumption demand, net exports, and a buoyant **services sector (64.1% of GVA, growing at 7.5%)**.
- **Inflation and Monetary Policy:** Headline inflation moderated to 4.6% in 2024-25 from 5.4%, driven by core inflation at 3.5% and fuel deflation, though food inflation remained high at 6.7%. The Monetary Policy Committee shifted to a neutral stance in October 2024 and cut the repo rate to 6.25% in February 2025, with liquidity managed through measures like a 50 bps CRR cut.
- **Financial Sector Strength:** The financial sector remained robust with improved bank and non-bank balance sheets, double-digit credit growth, and lower NPA ratios. NBFCs and urban cooperative banks showed enhanced profitability and capital adequacy, with regulatory measures like reduced risk weights on NBFC credit effective April 2025.
- **Fiscal Consolidation and External Sector:** The central government reduced the **fiscal deficit to 4.7% of GDP**, supported by 11.2% tax revenue growth and 5.2% capital expenditure growth. The current account deficit stayed sustainable at 1.3% of GDP, cushioned by strong services exports and remittances, despite a widened merchandise trade deficit of \$282.8 billion.
- **Digital and Financial Inclusion Initiatives:** The Reserve Bank expanded the CBDC-Retail pilot to 17 banks and 60 lakh users, introduced FinTech and EmTech repositories, and launched the Unified Lending Interface to enhance credit access for agriculture and MSMEs. The Financial Inclusion Index improved to 64.2 in March 2024, with a focus on women's financial literacy.
- **Outlook for 2025-26:** India's GDP growth is projected at 6.5% and inflation at 4.0% for 2025-26, supported by private consumption, government capex (4.3% of GDP), and a favorable monsoon. Risks include global trade uncertainties and geopolitical tensions, but trade agreements and INR internationalization efforts are expected to bolster exports.
- **Sustainability and Innovation Focus:** India ranked among the **top 10 in the Climate Change Performance Index 2025**, with initiatives like the Green Steel Mission, National Green Hydrogen Mission, and increased renewable energy funding. The Union Budget 2025-26 doubled R&D spending and introduced AI-focused initiatives to enhance innovation and productivity.



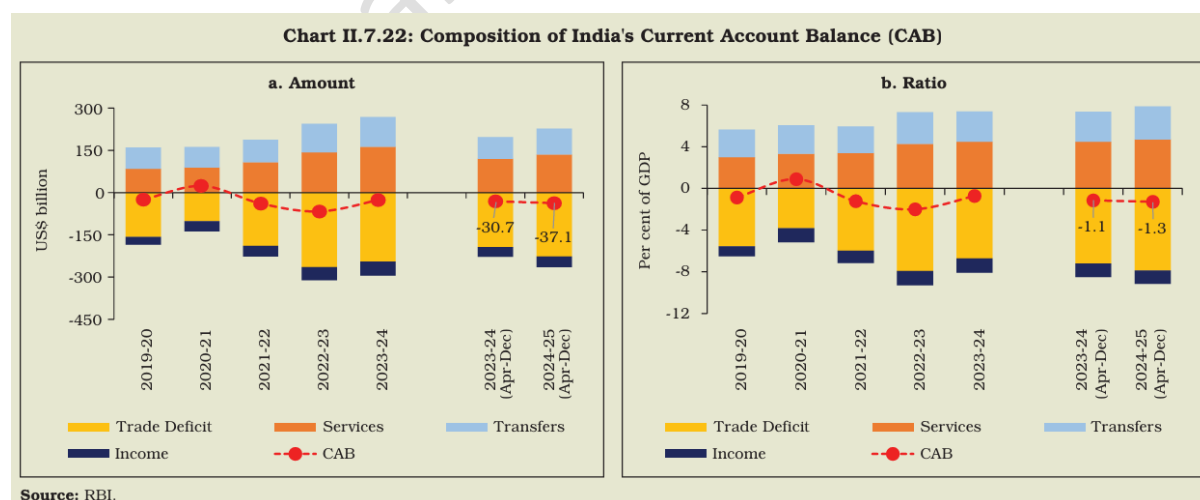
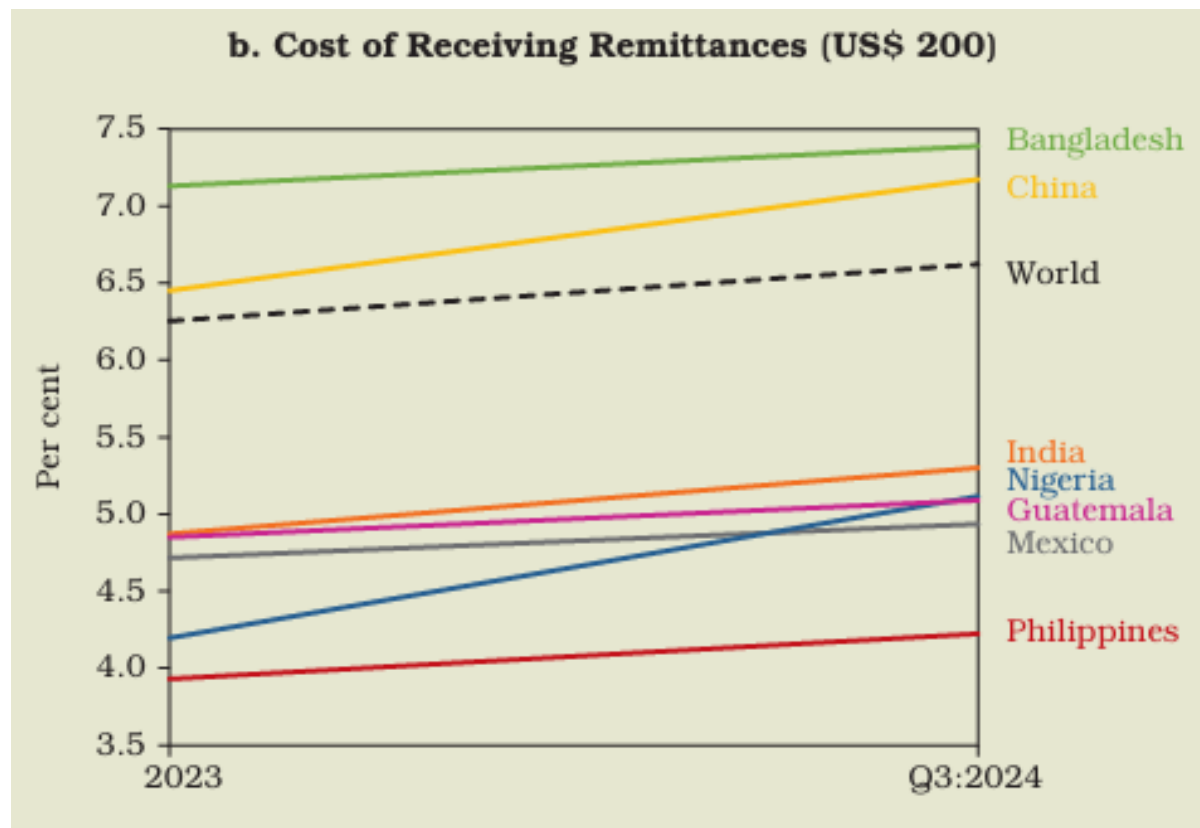
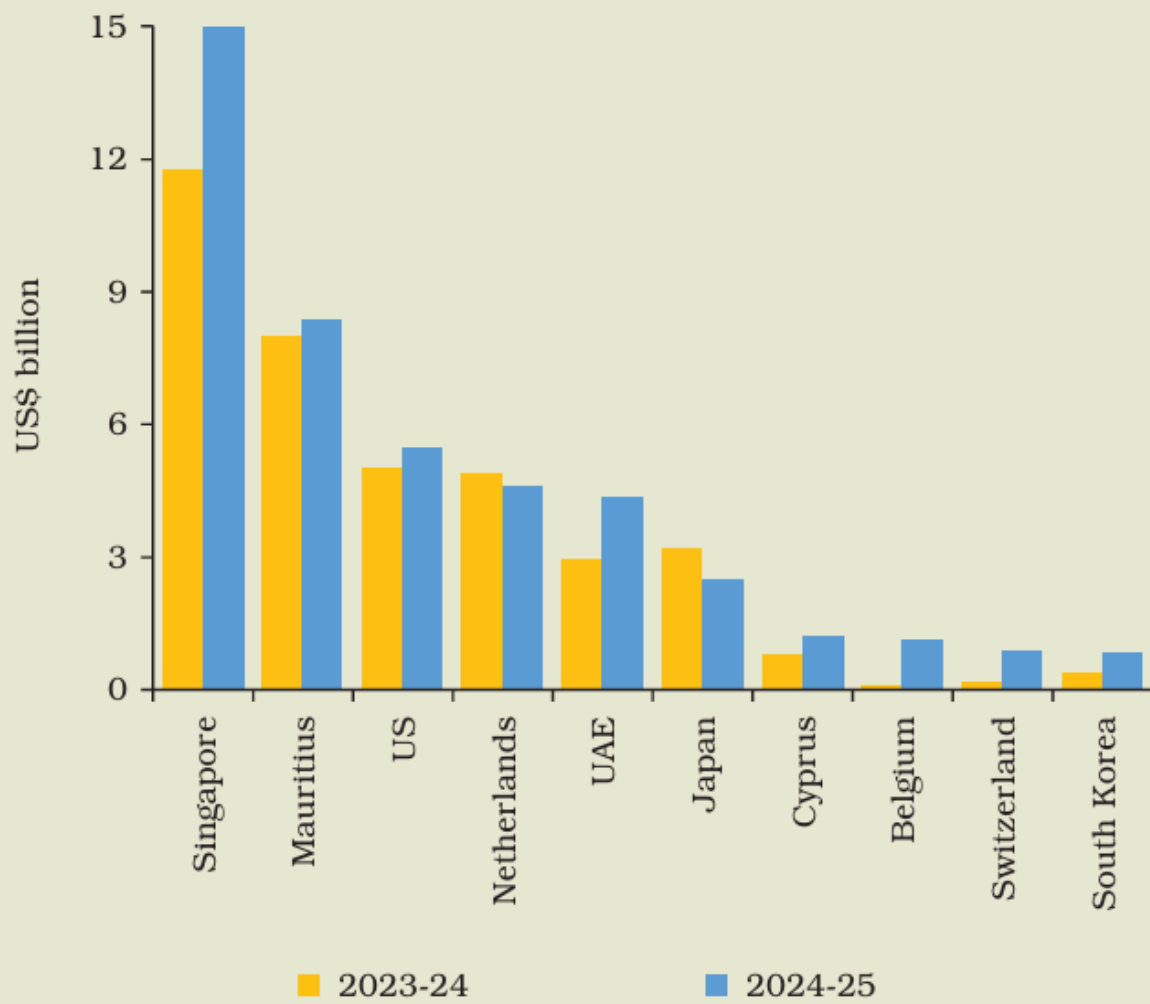
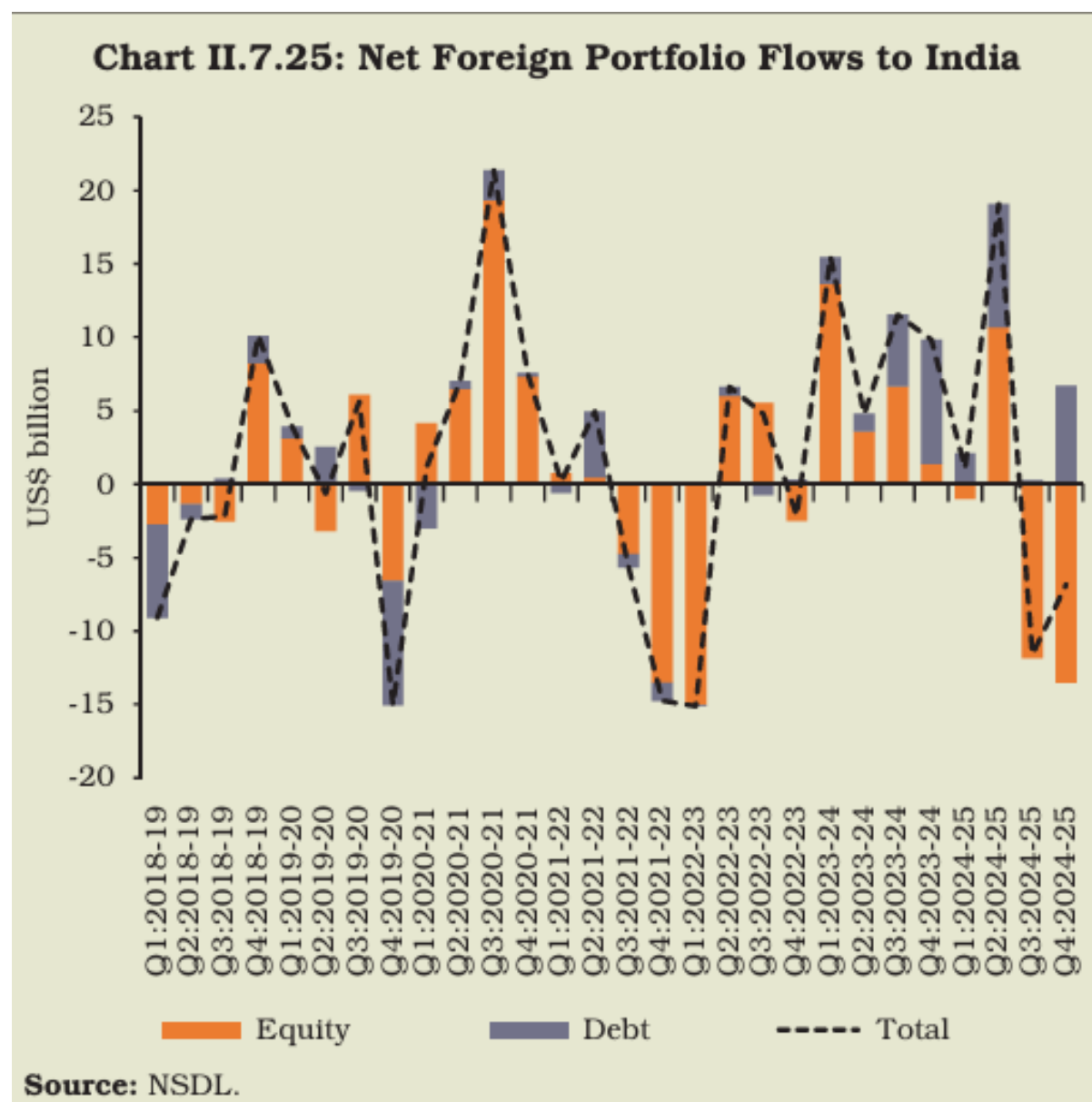
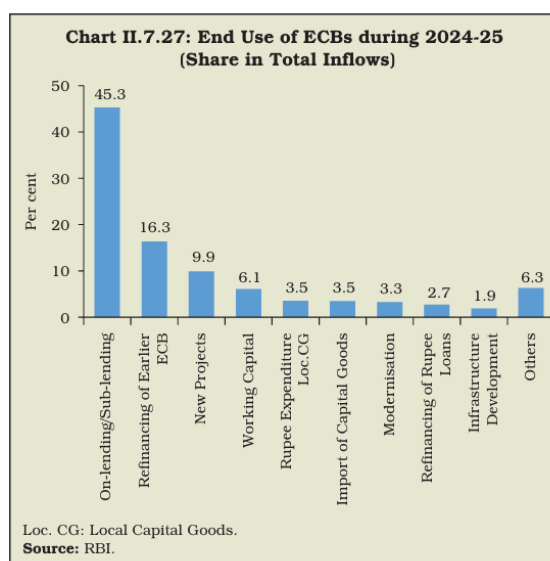
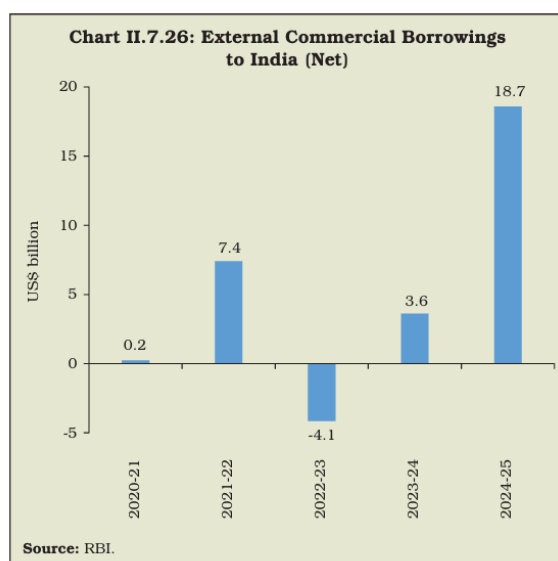


Chart II.7.24: Source Country-wise Inflow of FDI (Equity)**Source:** RBI.





3. Monetary Policy Operations

During 2024-25, headline inflation exhibited gradual easing, with the path of disinflation interrupted by volatile and elevated food inflation. The monetary policy committee (MPC) changed the stance from withdrawal of accommodation to neutral in October 2024 and subsequently reduced the policy repo rate by 25 basis points (bps) to 6.25 per cent in February 2025. To ease potential liquidity stress, the cash reserve ratio (CRR) of banks was reduced to 4.0 per cent of net demand and time liabilities (NDTL) in December 2024 along with several other measures to inject durable liquidity during January-March 2025.

Monetary Policy Framework

- **MPC Actions:**
 - **October 2024:** Changed stance from *withdrawal of accommodation* to *neutral* to monitor disinflation and growth, keeping repo rate at 6.50% (5-1 vote).
 - **February 2025:** Reduced policy repo rate by 25 basis points (bps) to **6.25%** (unanimous), reflecting moderated inflation and policy space to support growth.
 - Repo rate unchanged at 6.50% from February 2023 until February 2025.
- **Inflation Projections:**
 - **2024-25:** CPI inflation projected at **4.8%** (Q3: 5.7%, Q4: 4.4%), revised upward from 4.5% due to food price shocks.
 - **2025-26:** CPI inflation projected at **4.2%** (Q1: 4.5%, Q2: 4.0%, Q3: 3.8%, Q4: 4.2%), assuming normal monsoon.
- **Growth Projections:**
 - **2024-25:** Real GDP growth revised to **6.6%** (from 7.2%) after Q2 growth of 5.4%; First Advance Estimates at 6.4%.
 - **2025-26:** Real GDP growth projected at **6.7%**.

- **Challenges:** Persistent food inflation, adverse weather, geopolitical tensions, and global trade uncertainties posed risks to inflation and growth.

Liquidity Management

- **Liquidity Dynamics:**
 - **July-November 2024:** System liquidity in surplus due to government spending and forex purchases.
 - **December 2024-February 2025:** Shifted to deficit due to tax outflows, currency in circulation (CiC) increase, and capital outflows.
 - **March 2025:** Returned to surplus after liquidity injections.
- **Key Measures:**
 - **CRR Reduction:** Cut by 50 bps to **4.0%** of NDTL in December 2024, releasing ₹1.16 lakh crore.
 - **Q4 2024-25 Actions:** Term repo auctions (₹1.83 lakh crore), OMO purchases (₹2.45 lakh crore), USD/INR Buy/Sell swaps (₹2.16 lakh crore), and G-sec purchases under NDS-OM (₹38,825 crore).
 - Conducted variable rate repo (VRR) and reverse repo (VRRR) auctions to manage frictional liquidity.
- **Drivers:** CiC, forex operations, and GoI cash balances were major liquidity drivers. Sterilization via OMOs offset forex intervention impacts.

Monetary Policy Transmission

- **External Benchmark Lending Rate (EBLR):**
 - Strengthened transmission; EBLR-linked loans rose to **60.6%** of floating rate loans by December 2024 (from 56.6% in March 2024).
 - MCLR-linked loans fell to 35.9%. Public sector banks (PSBs) had 44.6% EBLR share, private banks (PVBs) 85.9%.
- **Interest Rates:**
 - Weighted Average Lending Rate (WALR) on fresh loans declined by 2 bps, outstanding loans by 8 bps in 2024-25.
 - Weighted Average Domestic Term Deposit Rate (WADTDR) on fresh deposits up by 3 bps, outstanding by 14 bps.
 - Tightening cycle (May 2022-January 2025): WALR on fresh loans up 181 bps, WADTDR on fresh deposits up 253 bps.
 - Easing cycle (February-March 2025): WALR on outstanding loans down 10 bps.
- **Sectoral WALRs:**
 - Fresh loans: Declined for MSMEs, agriculture, housing, and infrastructure; rose for vehicle and education loans.
 - Outstanding loans: Declined for MSMEs, trade, and housing; rose for agriculture and credit cards.
- **NBFCs:** Higher lending rates than SCBs due to liability structure; EBLR for NBFCs deemed unfeasible.

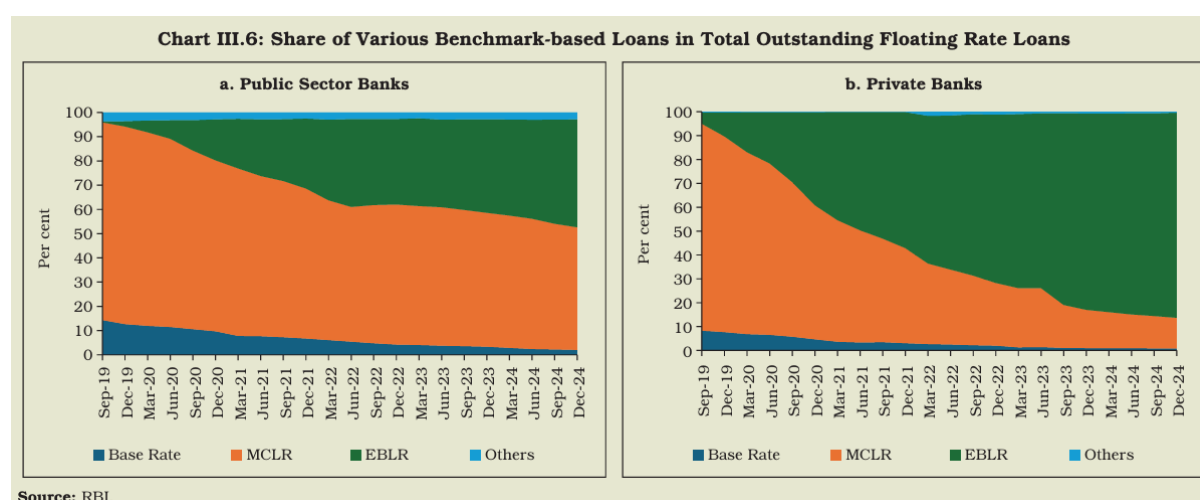
Financial Market and Rates

- **Weighted Average Call Rate (WACR):** Averaged 6 bps above repo rate, moderated post-repo rate cut and daily VRR auctions.

- **Money Market:** 3-month T-bill yields softened by 26 bps (September 2024), further in March 2025. Commercial paper (CP) and certificate of deposit (CD) yields also declined.
- **G-Sec Yields:** 5-year and 10-year yields remained benign, reflecting surplus liquidity and moderated borrowing needs.

Conclusion

The RBI navigated volatile food inflation and liquidity shifts in 2024-25, easing policy to support growth while maintaining a neutral stance. Enhanced EBLR adoption and proactive liquidity measures strengthened transmission. For the RBI Grade B Exam, focus on MPC decisions, inflation-growth projections, liquidity tools, and transmission mechanisms.



4.1 Credit Delivery and Financial Inclusion

National Strategy for Financial Inclusion (NSFI)

- **NSFI 2019-24:** Aimed to provide affordable access to formal financial services, deepen financial inclusion, and promote financial literacy. Achieved five key milestones in 2024, including leveraging FinTech, digital customer onboarding, and expanding Centres for Financial Literacy (CFLs) to every block.
- **NSFI 2025-30:** Formulation in progress to continue deepening financial inclusion under Utkarsh 2.0.

Financial Inclusion Index (FI-Index)

- Measures financial inclusion via sub-indices: Access (35%), Usage (45%), and Quality (20%).

- Increased to **64.2** in March 2024 from 60.1 in 2023, showing 6.8% y-o-y growth across all sub-indices.

Priority Sector Lending (PSL)

- Revised Guidelines (March 2025, effective April 2025):**
 - Enhanced loan limits for PSL categories.
 - Broadened purposes under 'Renewable Energy'.
 - Reduced PSL target for Urban Co-operative Banks from 75% to 60%.
 - Fixed targets for non-corporate farmers.
- Achievement:** Scheduled Commercial Banks (SCBs) achieved **43.1%** of Adjusted Net Bank Credit (ANBC) in PSL as of March 2025, surpassing the 40% target.

Credit Delivery

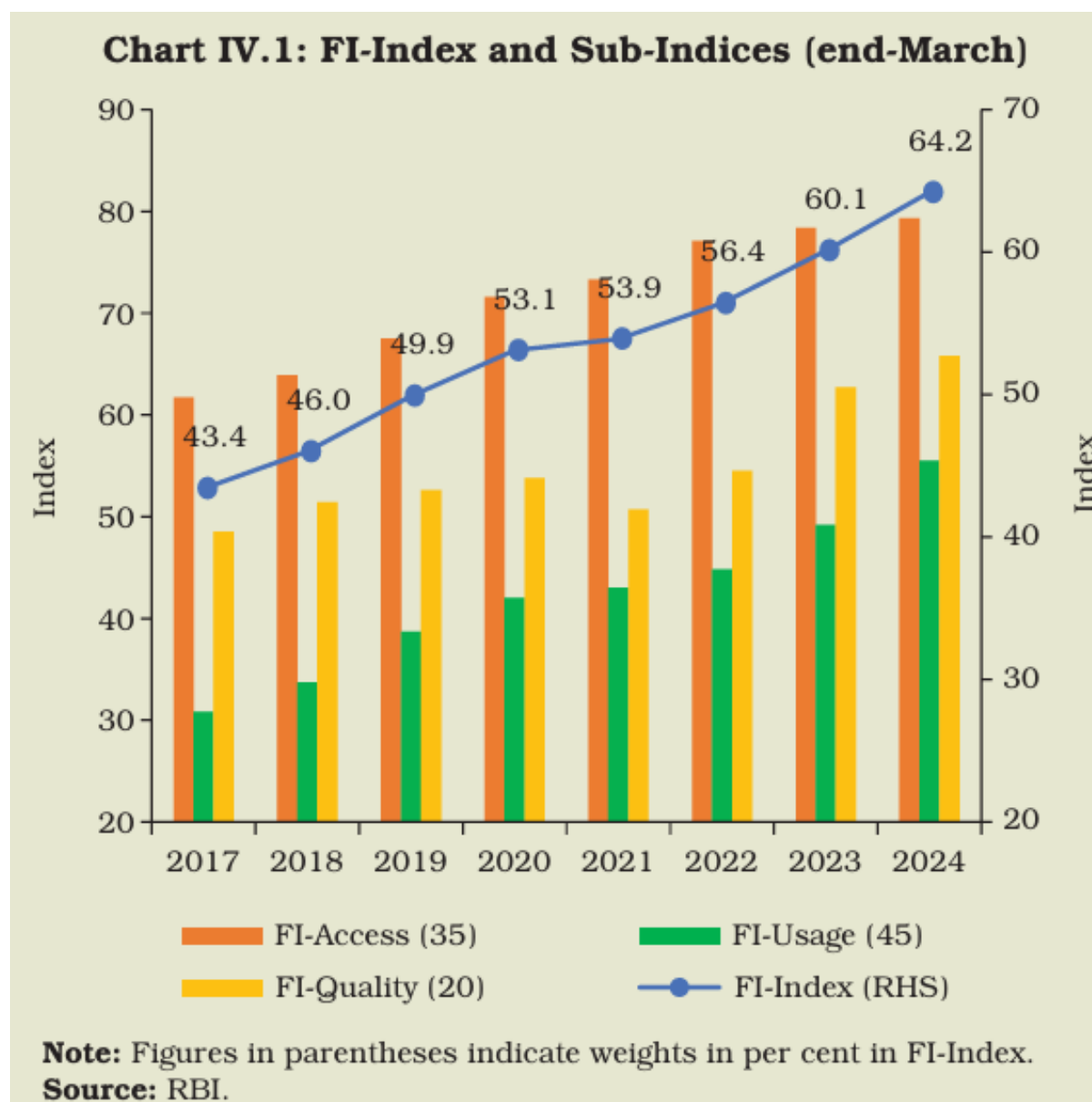
- Agriculture:**
 - Kisan Credit Card (KCC): Operative KCCs declined by 2.7%, but outstanding loans grew by 4.5% in 2024-25.
 - Collateral-free agriculture loan limit raised from ₹1.6 lakh to ₹2 lakh (December 2024).
- MSMEs:**
 - SCB credit to MSMEs grew by **14.8%** y-o-y in 2024-25.
 - New guidelines (June 2024): Uniform 14-day turnaround time for loans up to ₹25 lakh, mandatory credit proposal tracking system, and clear cluster financing definitions.

Expanding Digital Payments Ecosystem (EDDPE)

- Extended to all districts (except two in Andaman & Nicobar and one in Manipur) by August 2023.
- Achieved **100% coverage** in **514 districts** (>60% of total) by March 2025, covering all districts in 15 states and 6 UTs.
- Goal for 2025-26: Achieve 100% coverage in 80% of districts.

Financial Literacy Initiatives

- Centres for Financial Literacy (CFLs):** Scaled to **2,421 CFLs** by March 2025, covering every block.
- Financial Literacy Week (FLW) 2025:** Held February 24-28, themed 'Financial Literacy – Women's Prosperity', with campaigns in Indian Sign Language.
- RBI90Quiz:** Nationwide quiz for undergraduates, with **79,103 teams** participating to mark RBI's 90th year.
- Financial Literacy Centres (FLCs):** 1,508 FLCs conducted **1,31,220 camps** from April to December 2024.



Lead Bank Scheme (LBS)

- Under review to enhance financial inclusion through better access, usage, and quality of services.
- **14 banks** (12 public, 2 private) assigned lead bank responsibility across **782 districts**.

Universal Access to Banking

- Achieved banking access within a 5 km radius for every village/hamlet in **27 states and 8 UTs** by March 2025, covering **99.99%** of identified villages.

Key Data (December 2024, Financial Inclusion Plan)

- Basic Savings Bank Deposit Accounts (BSBDA): **7,201 lakh accounts**, balance up **11.9%** y-o-y to ₹3,04,715 crore.
- Banking Outlets: **56,579 branches**, **13,55,591 BC outlets** in villages.
- KCC: **520 lakh accounts**, outstanding loans at ₹8,85,068 crore.

5. Financial Market and Foreign Exchange Management

During 2024-25, the Reserve Bank continued its efforts towards further strengthening of various segments of the financial markets by broadening participation, easing access and rationalising regulations. Regulations pertaining to foreign exchange management have been rationalised in tune with evolving business practices with a focus on being more principle-based, reducing compliance burden and promoting the ease of doing business. Efforts are also underway to promote Indian Rupee (INR) as an international currency.

1. Financial Markets Regulation:

- Framework introduced for Self-Regulatory Organisations (SROs) and initial margin requirements for OTC derivatives.
- Forward contracts in G-secs launched; access to NDS-OM extended to SEBI-registered brokers.
- Guidelines for hedging gold price risk overseas and for participation of SPDs in forex markets updated.
- Unique Transaction Identifier (UTI) framework in process; consolidated rules for non-resident debt investment issued.

2. Financial Market Operations:

- Technological upgrades in liquidity management: ASISO balance limits, multiple bids in OMO auctions, and FX swap modules.
- Policy-oriented research on FX reserves and decentralised finance conducted.
- Revised liquidity management framework under development.

3. Foreign Exchange Management:

- Comprehensive rationalisation of ECBs, export/import guidelines, and LRS.
- Promotion of INR in cross-border trade, new guidelines for FCY accounts and SNRR/SRVA operations.
- Simplified reporting frameworks under FEMA; SPECTRA platform initiated.

4. Cross-border Transactions:

- Resident exporters allowed to open FCY accounts abroad.
- INR trade settlements promoted with countries like Maldives.
- Relaxation in Form A2 submission for outbound remittances.

The RBI emphasised strategic reforms aligned with Utkarsh 2.0, reinforcing India's financial resilience and ease of doing business, while maintaining monetary stability.

6. Regulation, Supervision and Financial Stability

Preserving financial stability while building a resilient and sound financial system continued to remain as the primary objective of regulatory and supervisory initiatives during the year. Accordingly, several regulatory and supervisory measures were undertaken in line with global best practices towards further strengthening governance and risk management practices and regulatory reporting system. Harnessing technology for effective supervision along with a focus on enhancing cyber security, strengthening fraud detection mechanisms and consumer protection were also pursued as concurrent objectives.

Box VI.1

Reserve Bank - Climate Risk Information System (RB-CRIS)

Climate change is emerging as one of the significant risks to the financial system. It is crucial for REs to undertake proper assessment, quantification and mitigation of climate change risks. One of the major challenges by the REs in this regard is to have a comprehensive assessment of its financial impact, which is constrained due to lack of high quality data, besides modelling challenges.

Climate change risks are generally of two types, viz., physical risk and transition risk. The estimation of physical risks requires hazard data in the form of susceptibility of geographical locations to events such as flood, drought, cyclone, sea-level rise and vulnerability data, i.e., financial loss data. The final assessment regarding climate risk would rest on the quality of such data.

Similarly, the assessment of transition risk faces issues relating to data gaps in terms of estimation of carbon prices, sectoral benchmark pathways and emission intensities. The data gaps are characterised by lack of uniform methodology, fragmentation in accessibility, lack of uniformity in publication of data and differences in metrics, units and formats. Although there are initiatives like NGFS,

G20 Data Gap Initiative (DGI), and the Net-Zero Data Public Utility (NZDPU) to establish sources for comprehensive, consistent and comparable data; these initiatives need fine-tuning from a developing country perspective.

Against the above backdrop, the Reserve Bank has announced the creation of a data repository, viz., RB-CRIS, comprising two parts: (i) web-based directory, listing various data sources (meteorological and geospatial) which will be publicly accessible on the Reserve Bank's website; and (ii) data portal comprising datasets (processed data in standardised formats), accessible to the Reserve Bank's REs. Essentially, RB-CRIS is proposed to bridge and standardise three data gaps : (i) physical risk; (ii) transition risk; and (iii) carbon emission. Bridging these data gaps will ensure comprehensive assessment of the financial impact due to climate change risks, which will facilitate informed decision and policy making for the broader financial system.

Reference:

Li, B., and Kroese, B. (2022), 'Bridging Data Gaps Can Help Tackle the Climate Crisis', *IMF Blog*, November 28.

- **Financial Stability Focus:** The RBI prioritized financial stability, resilience, and sound financial systems through regulatory and supervisory measures aligned with global best practices.
- **Regulatory Enhancements:** The Department of Regulation (DoR) issued guidelines on key facts statements (KFS) for loans, small finance banks (SFBs) transitioning to universal banks, and harmonization of regulations for housing finance companies (HFCs) and non-banking financial companies (NBFCs).

- **FinTech Initiatives:** The FinTech Department expanded central bank digital currency (CBDC) pilots, tested programmability and offline functionalities, and scaled up the Unified Lending Interface (ULI).
- **Self-Regulatory Organizations (SROs):** The RBI released a framework for SROs in the FinTech sector, recognizing the FinTech Association for Consumer Empowerment (FACE) as an SRO-FT.
- **Cyber Security and Supervision:** The Department of Supervision (DoS) strengthened onsite and offsite supervision, focusing on cyber/IT risk assessment, fraud risk management, and KYC/AML compliance.
- **Consumer Protection:** The Consumer Education and Protection Department (CEPD) enhanced consumer awareness on safe banking practices and strengthened grievance redress mechanisms.
- **Financial Stability Department (FSD):** The FSD monitored macrofinancial stability, conducted macro-stress tests, and developed a non-banking stability map/index.
- **Climate Risk Management:** The RBI created the Reserve Bank - Climate Risk Information System (RB-CRIS) to address data gaps in climate risk assessments.
- **Debt Relief Schemes (DRS):** Guidelines were issued for prudential treatment of DRS to mitigate moral hazard and ensure credit discipline.
- **Prompt Corrective Action (PCA):** A revised PCA framework for urban cooperative banks (UCBs) was introduced, effective from April 1, 2025, focusing on capital, asset quality, and profitability.
- **Deposit Insurance:** The Deposit Insurance and Credit Guarantee Corporation (DICGC) maintained a coverage limit of ₹5 lakh per depositor, with insured deposits at ₹96.74 lakh crore as of September 30, 2024.
- **Enforcement Actions:** The Enforcement Department imposed 353 penalties totaling ₹54.78 crore for non-compliance with regulations during 2024-25.
- **Cross-Border Supervision:** The RBI strengthened supervisory cooperation with 47 memoranda of understanding (MoUs) with overseas authorities.
- **AI and ML Adoption:** The RBI explored AI/ML solutions, including MuleHunter.ai™ for detecting mule accounts and a framework for ethical AI use in the financial sector.
- **Consumer Complaint Trends:** ORBIOs received 2.96 lakh complaints in 2024-25, primarily related to loans/advances and digital banking products.

7. Public Debt Management

As the **debt manager** to the central and state governments, the Reserve Bank manages their market borrowing programme adhering to the broad objectives of **cost optimisation, risk mitigation and market development**. During 2024-25, the government securities (G-secs) yields and the weighted average coupon on the entire outstanding debt stock decreased. The weighted average maturity (WAM) of primary issuances increased as compared to the previous year. Issuances of sovereign green bonds (SGrBs) and ultra-long securities continued during the year.

- **Debt Management Mandate**
The Internal Debt Management Department (IDMD) manages domestic debt

for the central government (under Sections 20-21, RBI Act) and 28 states + 2 UTs (under Section 21A). It also provides short-term credit via **Ways and Means Advances (WMA)** to bridge cash-flow gaps 14.

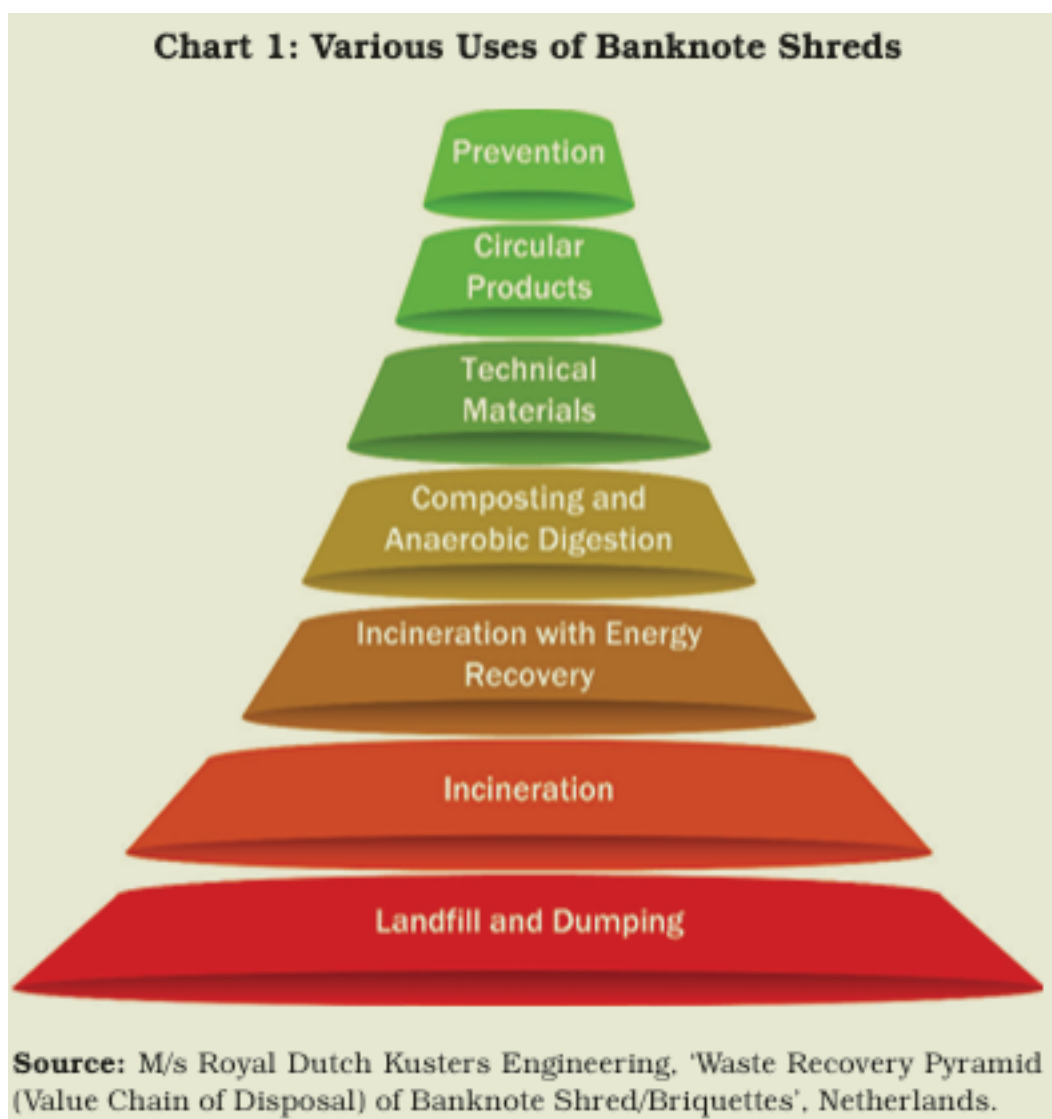
- **Market Borrowings Decline**

Central government's gross market borrowings fell by **9.2%** (to ₹14.00 lakh crore) in 2024-25 due to lower fiscal deficits. States' borrowings rose to **79%** of their fiscal deficit financing

8. Currency Management

During 2024-25, initiatives were undertaken towards modernisation of the currency management architecture. Maintaining adequate supply of clean banknotes in circulation, sustaining the self-sufficiency in banknote production, strengthening the integrity of banknotes through research, and improving methodologies for assessing the future demand for banknotes remained key priorities.

- **Sa-Mudra Project:** Multi-phase modernization of currency infrastructure using automation, network optimization, and green initiatives for efficiency and security
- **Sustainable Disposal:** Banknote shreds repurposed as raw material for particle boards via empaneled manufacturers, reducing landfill use.
Environmental Shift: Global "Waste Recovery Pyramid" adopted; only 4% of central banks use shreds for material recover.
- In consideration of the environmental impact of the ingredients embedded in banknote paper substrate such as security threads and fibres, security inks and other chemicals used in banknote printing; the Reserve Bank has been exploring sustainable and eco-friendly solutions for disposal of the banknote briquettes. Over the past few years, the quantum of banknote briquettes produced in India annually has hovered around 15,000 tonnes. Current Global Practices in Banknote Shred Disposal Globally, central banks as well as other authorities responsible for managing currency operations deploy different methods for disposal of banknote shreds, with a vast majority disposing them in landfills or through incineration (Chart 1). However, these methods are not environment friendly, may affect soil and/or generally degrade the environment owing to the chemical and elemental properties of banknotes.



- **Currency Circulation:**
 - **Banknotes:** ₹500 dominated (86% value, 40.9% volume).
 - **Coins:** ₹1/₹2/₹5 constituted 81.6% volume
- **e₹ (Digital Rupee) Surge:** Retail CBDC value rose **334%**; tested for subsidies (e.g., Odisha's Subhadra Yojana) and offline payments
- **Counterfeit Trends:** Fake ₹200 and ₹500 notes surged by **13.9%** and **37.3%**, respectively
- **Security Printing Cost:** Rose to **₹6,372.8 crore** (from ₹5,101.4 crore) due to higher banknote production. **Indigenization:** All raw materials (paper, inks, security features) now domestically sourced
- **Currency Infrastructure:** Managed via 19 RBI offices, 2,689 currency chests (SBI highest share), and 2,299 small coin depots

9. Payment and Settlement System and Information Technology

The Reserve Bank continued with its initiatives during 2024-25 to enhance the efficiency, security, and accessibility of payment systems, fostering a more

inclusive and resilient digital payments ecosystem. Efforts towards accelerating global outreach of India's domestic payment systems, particularly Unified Payments Interface (UPI) and RuPay cards, were sustained. The Reserve Bank seeks to leverage the latest technology to provide the best-in class information and communication technology (ICT) infrastructure.

- **Digital Payments Growth:** Digital payment volume surged **34.8%** (value: 17.3%), with UPI dominating **84% of retail payments** by volume. UPI transactions grew **41.7% in volume** (30.3% in value), reaching **₹260.6 lakh crore** in 2024-25.
- **Fraud Prevention: Central Payments Fraud Information Registry (CPFIR)** extended to RRBs, UCBs, and DCCBs for unified fraud reporting
- **Cheque Truncation System (CTS):** Shift to **continuous clearing** reducing settlement time from **T+1 to hours** for liquidity efficiency
- **Global UPI Expansion:** Goal to take UPI to **20 countries by 2028-29**. Currently live in **7 nations** (Bhutan, France, UAE, etc.). **Project Nexus:** India joined this **multilateral FPS linkage initiative** with Malaysia, Singapore, and Thailand for instant cross-border payments

Financial Inclusion: Delegated Payments ("UPI Circle"): Allows secondary users to transact via primary accounts. **PPI-UPI linkage** enabled through third-party apps.

- **In-House Tech Development:**
 - **e-Kuber 3.0:** Next-gen core banking system.
 - **Global SFMS Hub:** For cross-border payments in local currencies
- **PRAVAAH Portal:** Centralized platform for regulatory approvals, integrated with **Sarathi 2.0** for paperless workflows. **Cloud Infrastructure: Indian Financial Sector (IFS) Cloud** by IFTAS for secure data localization (Phase I launched)

10. Communication, International Relations, Research and Statistics

- **Public Awareness Campaigns (PACs):** In 2024-25, the RBI conducted 43 PACs across 23 themes under 'RBI Kehta Hai' and 'RBI Says', focusing on financial literacy, fraud prevention, and initiatives like UDGM and MANI App, using mascots Money Kumar and Ms. Money (X.8, X.13).
- **Social Media Strategy:** The RBI enhanced its social media presence on platforms like X, YouTube, and WhatsApp, launching the 'RBI Sunta Hai' project to monitor media and combat fake news (X.10, X.11, X.17).
- **RBI Museum Microsite:** A microsite was developed in 2024-25 to provide interactive content and educational resources about RBI's policies and history (X.12).
- **International Relations:** The RBI strengthened ties with international organizations like IMF, G20, BIS, and SAARCFINANCE, articulating India's perspectives on global financial stability and cross-border payments (X.22, X.28, X.30).

- **SAARC Currency Swap Framework:** The RBI revised the SAARC currency swap framework for 2024-27, introducing an INR swap window of ₹250 billion and continuing USD/Euro support with a \$2 billion corpus (X.24, Box X.2).
- **Government Cash Management:** The RBI integrated 27 state governments into e-Kuber for just-in-time CSS payments and introduced Aadhaar-based DBT payments via NPCI's APBS (X.39, X.40, Box X.3).
- **SNA-SPARSH and TIN 2.0:** The RBI onboarded 20 more states to SNA-SPARSH for real-time CSS fund releases and stabilized TIN 2.0 with UPI integration for enhanced tax payments (X.43, X.44).

11. Governance, Human Resources and Organisational Management

- **RBI@90 Celebrations:** Year-long events marked RBI's 90th year, starting with an opening ceremony on April 1, 2024, and concluding with the President of India as Chief Guest on April 1, 2025.
- **Economic Capital Framework (ECF):** Reviewed in 2024, the ECF was refined to enhance market risk buffers, flexibility in risk provisioning, and surplus distribution policies.

12. The Reserve Bank's Account for 2024-25

The size of the Reserve Bank's balance sheet as on March 31, 2025 increased by 8.20 per cent year on year. While income for the year increased by 22.77 per cent, expenditure increased by 7.76 per cent. The year ended with an overall surplus of ₹2,68,590.07 crore as against ₹2,10,873.99 crore in the previous year, resulting in an increase of 27.37 per cent.

- **Contingency Fund (CF):** A provision of ₹44,861.70 crore was made to CF, with no provision for the Asset Development Fund (ADF).
- **Surplus Transfer:** Surplus transferred to the Central Government increased by 27.37% to ₹2,68,590.07 crore in 2024-25 from ₹2,10,873.99 crore in 2023-24.
- **Foreign Exchange Reserves (FER):** FER grew by 5.95% to ₹57,12,140.58 crore, with gold increasing by 52.09% and FCA by 1.87%.
- **Gold Holdings:** Total gold holdings increased to 879.58 metric tonnes, with 311.38 metric tonnes backing notes issued.
- **Economic Capital Framework (ECF):** Reviewed in 2024-25, the ECF set the Contingent Risk Buffer (CRB) at 7.50% of the balance sheet.
- **Revaluation Accounts:** The Currency and Gold Revaluation Account (CGRA) increased by 17.32% to ₹13,02,964.89 crore due to rupee depreciation and gold price rise.
- **Foreign Currency Assets (FCA):** FCA increased by 1.70% to ₹48,83,532.84 crore, constituting a major portion of FER.
- **Domestic Investments:** Domestic investments rose by 14.32% to ₹15,58,573.83 crore, driven by liquidity management operations.

- **Loans and Advances:** Loans to State Governments surged by 395.28% to ₹32,688.09 crore, while loans to banks increased by 31.20%.
- **Printing of Notes:** Note printing expenditure increased by 24.69% to ₹6,372.82 crore, with 3,03,000 lakh pieces supplied.

Have a look at the Financial Statements of RBI, try to understand only the important points.

RESERVE BANK OF INDIA
BALANCE SHEET AS ON MARCH 31, 2025

(Amount in ₹ crore)

Liabilities	Schedule	2023-24	2024-25	Assets	Schedule	2023-24	2024-25
Capital		5.00	5.00	Assets of Banking Department (BD)			
Reserve Fund		6,500.00	6,500.00	Notes, Rupee Coin, Small Coin	6	10.13	11.26
Other Reserves	1	240.00	242.00	Gold-BD	7	2,74,714.27	4,31,624.80
Deposits	2	17,19,838.56	17,17,404.03	Investments-Foreign-BD	8	14,89,081.42	14,32,572.10
Risk Provisions				Investments-Domestic-BD	9	13,63,368.97	15,58,573.83
Contingency Fund		4,28,621.03	5,42,426.96	Bills Purchased and Discounted		0.00	0.00
Asset Development Fund		22,974.68	22,974.68	Loans and Advances	10	3,75,593.49	4,34,710.24
Revaluation Accounts	3	11,30,963.71	13,26,793.43	Investment in Subsidiaries	11	2,063.60	2,063.60
Other Liabilities	4	2,60,520.73	3,21,248.79	Other Assets	12	64,831.83	78,039.06
Liabilities of Issue Department				Assets of Issue Department (ID) (As backing for Notes Issued)			
Notes Issued	5	34,78,039.50	36,87,827.04	Gold-ID	7	1,64,604.91	2,36,537.54
				Rupee Coin		458.54	328.76
				Investments-Foreign-ID	8	33,12,976.05	34,50,960.74
				Investments-Domestic-ID	9	0.00	0.00
				Domestic Bills of Exchange and other Commercial Papers		0.00	0.00
						34,78,039.50	36,87,827.04
Total Liabilities		70,47,703.21	76,25,421.93	Total Assets		70,47,703.21	76,25,421.93

RESERVE BANK OF INDIA
INCOME STATEMENT FOR THE YEAR ENDED MARCH 31, 2025

(Amount in ₹ crore)

INCOME	Schedule	2023-24	2024-25
Interest	13	1,88,605.73	2,10,687.64
Other Income	14	86,966.59	1,27,620.45
Total		2,75,572.32	3,38,308.09
EXPENDITURE			
Printing of Notes		5,101.40	6,372.82
Expenditure on Remittance of Currency		128.39	151.02
Agency Charges	15	3,976.31	3,669.56
Employee Cost		7,890.11	9,146.71
Interest		2.19	2.44
Postage and Telecommunication Charges		242.75	106.43
Printing and Stationery		29.53	24.24
Rent, Taxes, Insurance, Lighting, etc.		254.14	274.65
Repairs and Maintenance		173.07	177.55
Directors' and Local Board Members' Fees and Expenses		5.75	4.80
Auditors' Fees and Expenses		7.37	7.24
Law Charges		18.06	17.67
Depreciation		370.62	623.63
Miscellaneous Expenses		3,674.73	4,273.56
Provisions		42,819.91	44,861.70
Total		64,694.33	69,714.02
Available Balance		2,10,877.99	2,68,594.07
Less:			
(a) Contribution to:			
(i) National Industrial Credit (Long Term Operations) Fund		1.00	1.00
(ii) National Housing Credit (Long Term Operations) Fund		1.00	1.00
(b) Transferable to NABARD:			
(i) National Rural Credit (Long Term Operations) Fund ¹		1.00	1.00
(ii) National Rural Credit (Stabilisation) Fund ¹		1.00	1.00
(c) Others			
Surplus payable to the Central Government		2,10,873.99	2,68,590.07

1. These funds are maintained by the National Bank for Agriculture and Rural Development (NABARD).

Schedule 13:	Interest			
	(a) Domestic Sources			
	(i)	Interest on holding of Rupee Securities	92,589.51	85,524.67
	(ii)	Net Interest on LAF Operations	-7,052.08	-4,739.82
	(iii)	Interest on SDF	-5,616.80	-5,844.65
	(iv)	Interest on MSF Operations	3,413.37	464.22
	(v)	Interest on Loans and Advances	2,094.09	1,922.77
		Sub total	85,428.09	77,327.19
	(b) Foreign Sources			
	(i)	Interest Income from Foreign Securities	65,327.93	97,006.66
	(ii)	Net Interest on Repo/ Reverse Repo transactions	228.64	158.59
	(iii)	Interest on Deposits	37,621.07	36,195.20
		Sub total	1,03,177.64	1,33,360.45
		Total	1,88,605.73	2,10,687.64
Schedule 14:	Other Income			
	(a) Domestic Sources			
	(i)	Exchange	0.00	0.00
	(ii)	Discount	0.00	0.00
	(iii)	Commission	3,886.95	4,131.64
	(iv)	Rent Realised	9.19	9.00
	(v)	Profit/ Loss on sale and redemption of Rupee Securities	859.32	1,105.16
	(vi)	Depreciation on Rupee Securities inter portfolio transfer	-68.74	-69.50
	(vii)	Amortisation of premium/ discount on Rupee Securities	-2,394.71	-2,681.71
	(viii)	Profit/ Loss on sale of Bank's property	1.73	2.16
	(ix)	Provision no longer required and Miscellaneous Income	379.29	-353.40
		Sub total	2,673.03	2,143.35
	(b) Foreign Sources			
	(i)	Amortisation of premium/ discount on Foreign Securities	2,235.86	13,686.63
	(ii)	Profit/ Loss on sale and redemption of Foreign Securities	-630.56	661.64
	(iii)	Exchange gain/ loss from Foreign Exchange transactions	83,615.86	1,11,143.38
	(iv)	Miscellaneous Income	-927.60	-14.55
		Sub total	84,293.56	1,25,477.10
		Total	86,966.59	1,27,620.45